

11. Threat of Entry

Time and Cost of Sizeable entry	Moderate
Economics of Scale	High Economies of Scale
Distribution strength required	High
Cost Advantages to Existing Players	No
Switching Costs for Customers	Hassle, Technology, Dependency
Asset Specificity in the Industry	High asset specificity of owners
Proprietary Product Difference	Low
Network Effect of the Product	Yes
Protection against new entrants	No Protection
Brand Identity	High
Reputation of existing firms	Reputation needed
Response by incumbents on new entry	Moderate Strategic Response

12. Competitive Rivalry

Number of competitors in the industry	A few competitors
How concentrated is the industry?	Moderately diluted
Differences in product quality	Minor differences in the product
Cost of switching products	Hassle Dependency
Is the industry growing?	Yes; growing industry
Overcapacity in the industry	Seasonal overcapacity
Fixed costs in the industry	High Fixed Costs